

ROAS, ACOS, and TACOS are three important metrics used to evaluate Amazon advertising performance.

ROAS (Return on Ad Spend) measures the revenue generated for every rupee spent on advertising. A ROAS of 4 means that every ₹1 spent on ads generates ₹4 in sales revenue.

ACOS (Advertising Cost of Sale) measures the percentage of ad-generated revenue spent on advertising. It is calculated by dividing ad spend by ad revenue. Lower ACOS generally indicates better advertising efficiency.

TACOS (Total Advertising Cost of Sale) measures advertising spend as a percentage of total revenue, including both paid and organic sales. TACOS is considered a better long-term business health metric because it reflects the overall impact of advertising on business growth.

ROAS and ACOS are inversely related. As ROAS increases, ACOS decreases. Brands may tolerate a higher ACOS when launching products or building market share. As organic sales grow, TACOS generally decreases, indicating stronger brand performance and reduced dependence on paid advertising.